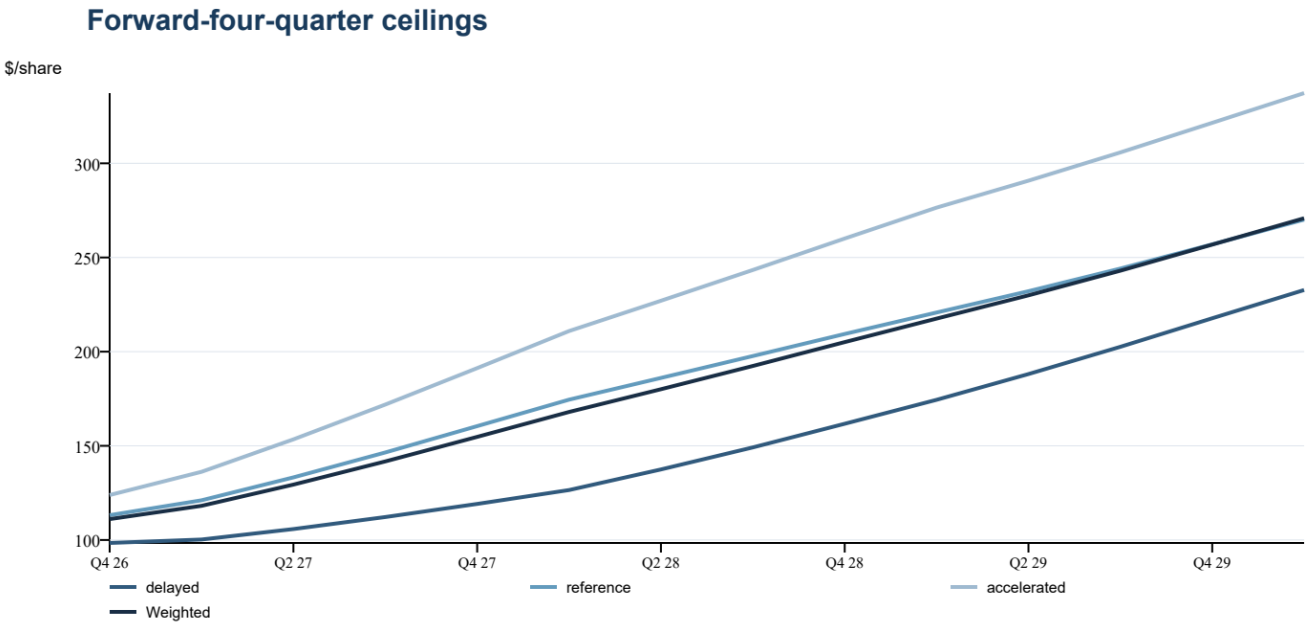
Corning Incorporated | GLW

Full investment review | November 4, 2026 | Framework 8.0

The Q4 2027 modeled ceiling is $154.75. The earnings window is Q4 2027 through Q3 2028. The model retains 20 times parent economic core operating profit and 895 million economic diluted shares.

October 27 earnings support stronger optical demand and additional capacity investment. Solar recovers gradually in the selected model. Analytical Base and protected Excel Base remain 70. Earlier published forecasts retain their original information vintage.

Financial amounts are USD millions unless stated otherwise. Core measures are non-GAAP. Reported results, management outlook and analyst assumptions retain their separate labels.



Source: approved Corning model. The chart uses the stated financial basis.

1. Investment thesis and supply chain

Corning supplies optical fiber, cable and connectivity, specialty glass, ceramic substrates and filters, solar materials and laboratory products. Data-center construction increases optical material and connectivity outside the server. Denser links inside systems create an additional market.

The competitive position rests on materials science, manufacturing process control, field reliability, qualified assemblies and customer engineering. Qualified assembly, polish, inspection, labor, machinery and acceptance govern the conversion of demand into recognized sales.

Enterprise optics, carrier/DCI and inside-box photonics have separate revenue lines. Customer agreements and architecture announcements inform those lines. Their headline values are already covered by the selected sales paths.

2. Addressable market and adoption timing

Management's inside-box opportunity reference reaches $10 billion by 2030. The reference path selects $700 million in 2027, $2,900 million in 2028, $5,500 million in 2029 and $8,500 million in 2030. These analyst estimates represent 7%, 29%, 55% and 85% of that opportunity.

The October call supports faster optical scale-up in 2028 and describes an architecture with 160 fibers per GPU versus 16 in an earlier arrangement. The model uses bounded adoption and revenue paths. Technical content ratios alone do not establish a tenfold change in company revenue.

Enterprise connectivity covers outside-faceplate demand. Carrier includes DCI. Photonics covers inside-box assemblies and the associated fiber-array opportunity. The category boundaries prevent duplicate revenue.

3. Latest reported earnings

Q3 core sales were $5,081 million and core operating profit was $1,152 million. GAAP sales were $4,855 million and operating profit was $911 million. Core operating margin was 22.7%. Core EPS was $0.91; GAAP diluted EPS was $0.78. [S1, S2]

Operating cash flow of $1,061 million less $545 million cash capital spending gives conventional FCF of $516 million. Issuer adjusted FCF of $661 million adds $145 million realized currency-hedge receipts classified in investing. Hedge premiums of $43 million retain separate investing treatment. [S1, S2]

Q3 2026 metric	GAAP	Core / adjusted
Sales	4855	5081
Gross profit	1810	2059
Operating profit	911	1152
Parent net income	680	795
Diluted EPS	0.78	0.91
CFO	1061	1206
FCF	516	661

4. Management outlook and changes

Management guided Q4 core sales to $5.2-$5.3 billion and core EPS to $0.96-$1.00. The selected $5,250 million revenue midpoint and $907 million operating expenses yield modeled core EPS of $0.993 on the management-style 871 million share denominator. [S1, S3, S5]

Enterprise sales were $1,525 million, up 84% year over year. Carrier sales were $854 million, up 4%. Management described tight supply in new products, value-led pricing and four multibillion-dollar long-term agreements signed in Q3. The revenue model converts this evidence through volume, content, qualification and capacity. [S3, S5]

Solar production advanced more slowly than expected. Management expects gradual productivity and profit improvement in 2027 and retained an eventual revenue opportunity above $3 billion. Glass pricing starts inQ 4 with most contribution in 2027, offsetting currency and cost pressures. [S3]

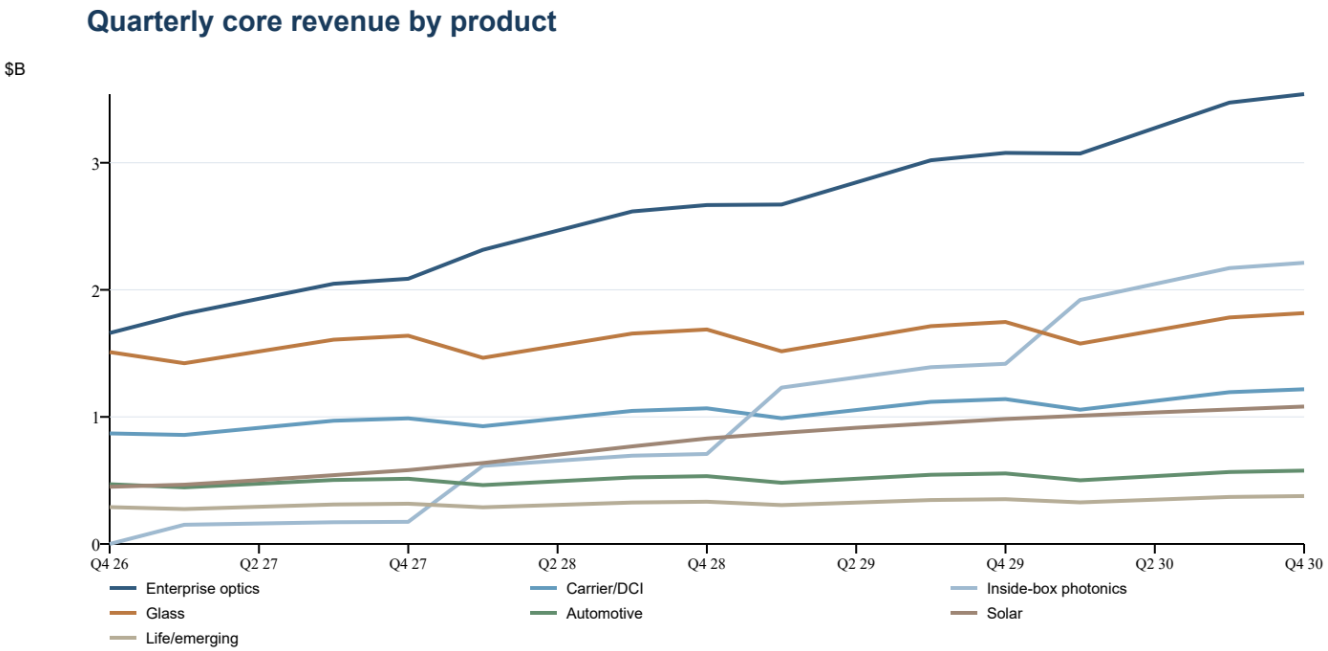
5. Analytical score

The analytical score remains 42/60, equivalent toBase 70. Optical demand and customer relationships support the thesis and catalysts. Architecture, factory execution, customer concentration and minority-accounting uncertainty retain risk deductions.

Category	Points
core thesis	14
cycle stage	9
TAM expansion	9
catalysts	4
macro	8
alpha	2
risks	-4
Total	42
Analytical Base	70
Protected Excel Base	70

6. Revenue sources and capacity conversion

Seven product groups drive the quarterly forecast. Enterprise unit/content factors start from the Q3 annualized $6.1 billion anchor. Photonics has a separate adoption path. Solar uses quarterly output and profitability paths. Product-level gross margins remain analyst allocation proxies constrained by group earnings and segment evidence.



Source: approved Corning model. The chart uses the stated financial basis.

6.1 Enterprise optical

Reference 2027 sales equal $6,100 million x 1.25 units x 1.05 content/pricing, or $8,006.25 million before the separate warrant allowance. Later unit factors are 1.18,1.10 and 1.08; content factors are 1.10,1.03 and 1.03. Qualified output and acceptance determine timing. Customer agreements support this path with no second contract-value increment.

Year	Delayed sales	Reference sales	Accelerated sales
2027	7,339.9	7,932.2	8,541.6
2028	8,524.8	10,281.1	11,766.5
2029	10,148.3	11,663.3	13,857.0
2030	12,413.7	13,097.7	15,979.4

6.2 Carrier and DCI

Q3 carrier sales were $854 million. DCI remains within carrier. Management expects DCI to exceed the earlier $1 billion end-decade objective in timing and magnitude, without a replacement numerical target. Reference carrier sales start at $3,757.6 million in 2027.

Year	Delayed sales	Reference sales	Accelerated sales
2027	3,586.8	3,757.6	3,860.1
2028	3,802.0	4,058.2	4,284.7
2029	4,106.2	4,301.7	4,627.5
2030	4,434.7	4,559.8	4,997.7

6.3 Inside-box photonics

Reference annual sales are $700/$2,900/$5,500/$8,500 million in 2027-2030. Delayed sales are $350/$1,450/$4,000/$7,000 million; accelerated sales are $1,000/$3,800/$7,000/$10,000 million. The same joint probabilities govern the complete cost and cash paths. FAU qualification, architecture and deployments govern adoption.

Year	Delayed sales	Reference sales	Accelerated sales
2027	350.0	700.0	1,000.0
2028	1,450.0	2,900.0	3,800.0
2029	4,000.0	5,500.0	7,000.0
2030	7,000.0	8,500.0	10,000.0

6.4 Glass Innovations

Q3 core sales were $1,506 million. The $6,024 million annualized anchor grows 1%,3% or 4% in 2027 across the selected scenarios. Prices partly offset yen and inflation. The core-to-GAAP operating adjustment scales with glass revenue and realized derivative cash stays separately visible.

Year	Delayed sales	Reference sales	Accelerated sales
2027	6,084.2	6,204.7	6,265.0
2028	6,266.8	6,390.9	6,452.9
2029	6,486.1	6,614.5	6,678.8
2030	6,745.5	6,879.1	6,945.9

6.5 Automotive

Q3 sales were $470 million. The annual model uses 3% growth in 2027 and 4% thereafter. Manufacturing, R&D and capital costs remain in the group build. Vehicle production, emissions requirements and customer mix remain the relevant checks.

Year	Delayed sales	Reference sales	Accelerated sales
2027	1,936.4	1,936.4	1,936.4
2028	2,013.9	2,013.9	2,013.9
2029	2,094.4	2,094.4	2,094.4
2030	2,178.2	2,178.2	2,178.2

6.6 Solar

Q3 sales were $436 million with segment net loss $7 million. Reference sales rise from $470 million inQ 1 2027 to $590 million inQ 4. Equipment placement, factory learning and absorption precede later scale. The eventual management opportunity has no binding realization quarter.

Year	Delayed sales	Reference sales	Accelerated sales
2027	1,890.0	2,120.0	2,310.0
2028	2,330.0	3,010.0	3,660.0
2029	3,160.0	3,710.0	4,700.0
2030	3,890.0	4,040.0	5,250.0

6.7 Life Sciences and emerging businesses

Q3 sales were $290 million. The annual model applies 3%,5%,6% and 7% growth in 2027-2030 to the $1,160 million annualized anchor. The group retains operating support and contributes a modest portion of the forecast.

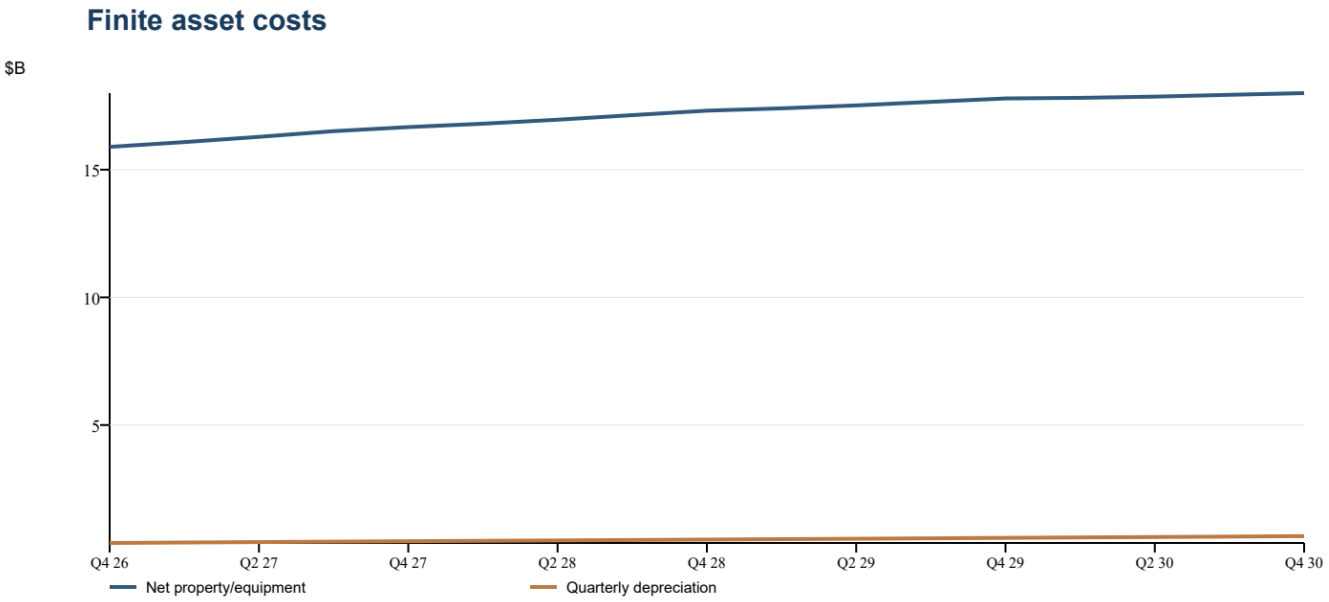
Year	Delayed sales	Reference sales	Accelerated sales
2027	1,194.8	1,194.8	1,194.8
2028	1,254.5	1,254.5	1,254.5
2029	1,329.8	1,329.8	1,329.8
2030	1,422.9	1,422.9	1,422.9

7. Operating costs and manufacturing

Q4 product margin proxies are decomposed into cash contribution and depreciation. Finite asset cohorts then drive actual future costs. New product growth carries R&D and support spending.

Opening property and equipment is $15,517 million. Legacy depreciation is capped at $371 million per quarter until the asset balance is exhausted. Cash capital additions use 40-quarter lives and half-quarter first depreciation. New solar finance-lease equipment uses 20 quarters. Eighty percent of ordinary depreciation enters cost of sales, the remainder operating expenses.

Stock compensation enters operating costs once. Q4 uses $48 million. Later quarters use a normalized $99.3 million quarterly anchor, scaled to sales. Intangible amortization remains in the GAAP cash bridge.



Source: approved Corning model. The chart uses the stated financial basis.

8. Quarterly operating model

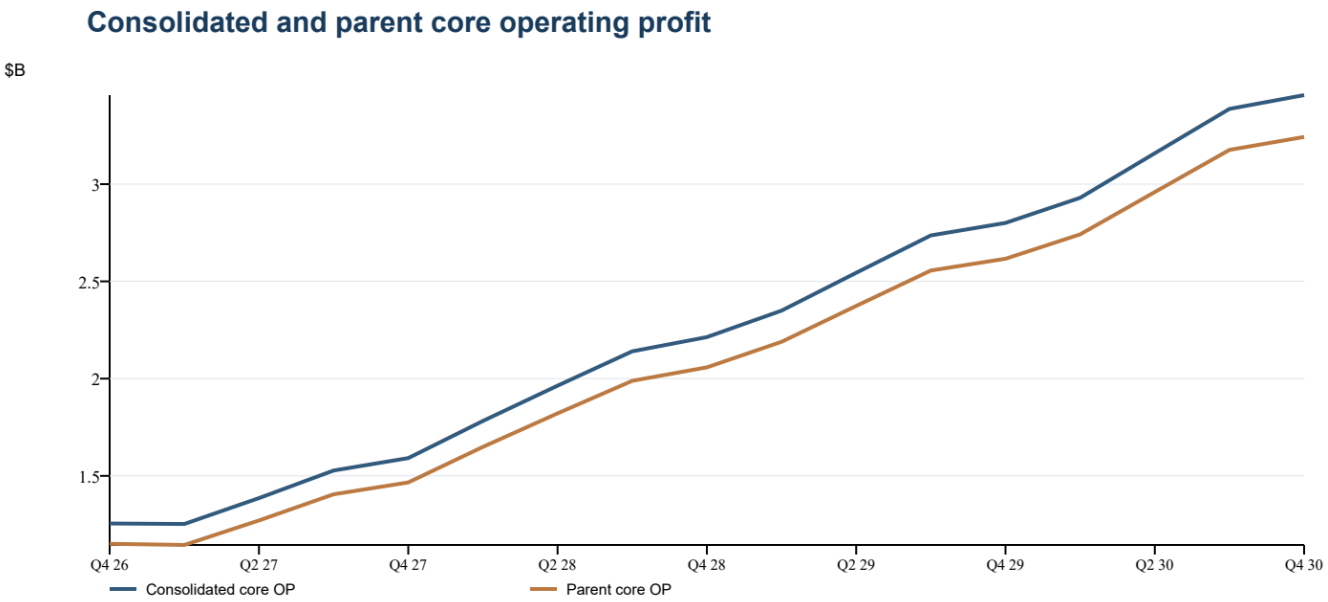
Quarter	Core sales	Core GP	Core opex	Core OP	Parent OP
Q4 2026	5,250.0	2,162.0	907.0	1,255.0	1,150.8
Q1 2027	5,429.5	2,245.9	993.4	1,252.5	1,144.6
Q2 2027	5,788.7	2,421.3	1,035.6	1,385.6	1,270.6
Q3 2027	6,151.8	2,605.0	1,077.5	1,527.4	1,405.2
Q4 2027	6,299.2	2,687.5	1,096.2	1,591.3	1,466.1
Q1 2028	6,709.7	2,938.7	1,156.4	1,782.3	1,649.1
Q2 2028	7,171.2	3,169.6	1,205.9	1,963.7	1,821.3
Q3 2028	7,632.8	3,394.9	1,254.6	2,140.3	1,988.7
Q4 2028	7,826.8	3,490.2	1,276.8	2,213.4	2,057.9
Q1 2029	8,068.8	3,657.6	1,308.0	2,349.6	2,189.3
Q2 2029	8,578.5	3,903.7	1,359.5	2,544.2	2,373.8
Q3 2029	9,082.2	4,146.0	1,409.7	2,736.3	2,555.9
Q4 2029	9,273.1	4,231.3	1,430.7	2,800.6	2,616.3
Q1 2030	9,464.0	4,383.7	1,453.9	2,929.8	2,741.8
Q2 2030	10,041.2	4,667.7	1,508.8	3,158.9	2,959.4
Q3 2030	10,615.8	4,949.6	1,562.7	3,386.9	3,176.0
Q4 2030	10,822.9	5,042.0	1,584.2	3,457.8	3,242.8

9. Multiple, shares and minority interests

The established method is 20 times current-plus-next-three-quarter parent economic core operating profit divided by 895 million economic diluted shares. The model retains zero cash/net-debt adjustment. The 871 million guidance EPS share count is a separate diagnostic.

Management guided Q4 net minority earnings to $80-$90 million. The selected $85 million is converted to a pretax operating claim under the original workbook convention:85/(1-18.5%)=$104.294 million. Core parent net income deducts the $85 million net claim once.

Future net minority earnings scale with net core sales. This is a proxy. Actual Hemlock, US Conec and other minority profit can diverge with product mix. A+/-25% sensitivity is included. Current evidence does not establish a revised US Conec ownership percentage.



Source: approved Corning model. The chart uses the stated financial basis.

10. Complete rolling ceilings

Each ceiling uses its named quarter and the next three quarters of parent operating profit. Scenario values are calculated before weighting. The final three forecast quarters have incomplete windows and remain blank.

Quarter	F4 parent OP $M	Multiple	Shares M	Ceiling $
Q4 2026	4,971.3	20	895	111.09
Q1 2027	5,286.7	20	895	118.14
Q2 2027	5,791.1	20	895	129.41
Q3 2027	6,341.7	20	895	141.71
Q4 2027	6,925.1	20	895	154.75
Q1 2028	7,516.9	20	895	167.98
Q2 2028	8,057.1	20	895	180.05
Q3 2028	8,609.6	20	895	192.39
Q4 2028	9,176.8	20	895	205.07
Q1 2029	9,735.3	20	895	217.55
Q2 2029	10,287.8	20	895	229.89
Q3 2029	10,873.4	20	895	242.98
Q4 2029	11,493.5	20	895	256.84
Q1 2030	12,119.9	20	895	270.84
Q2 2030	-	20	895	-
Q3 2030	-	20	895	-
Q4 2030	-	20	895	-

11. Active valuation chain

Q4 2027 uses Q4 2027 through Q3 2028. Weighted parent operating profit totals $6,925.1 million. At 20 times and 895 million shares, the modeled ceiling is $154.75.

Refreshed optical and solar trajectories, manufacturing depreciation, customer financing and the minority reconciliation determine the current forecast. Q3 2026 retains its earlier $103.9589228937 ceiling and original rolling window.

Scenario	Probability	F4 parent OP $M	Ceiling $
Delayed	25%	5,331.9	119.15
Reference	60%	7,180.5	160.46
Accelerated	15%	8,558.9	191.26
Weighted	100%	6,925.1	154.75

12. Annual trajectory and exit rates

Calendar-year revenue and fourth-quarter annualized exit sales have different time bases. Springboard milestones remain exit-rate references and are excluded from additive modeled revenue.

Year	Core sales	Core OP	Parent OP	Capex	Q4 annualized sales
2027	23,669.2	5,756.9	5,286.7	2,300.0	25,196.9
2028	29,340.5	8,099.8	7,516.9	2,600.0	31,307.2
2029	35,002.5	10,430.6	9,735.3	2,700.0	37,092.4
2030	40,944.0	12,933.3	12,119.9	2,700.0	43,291.6

13. Probability and overlap ledger

The joint states carry adoption, pricing and factory absorption together:25% delayed,60% reference and 15% accelerated. Customer agreements, higher fiber density, DCI and FAU evidence are included within the selected product lines. Each cash and operating outcome receives its probability once.

Slower qualified output and inside-box conversion drive the delayed case. Faster accepted capacity and stronger mix drive the accelerated case. These probabilities are analytical judgments bounded by qualification, equipment and customer deployment timing.

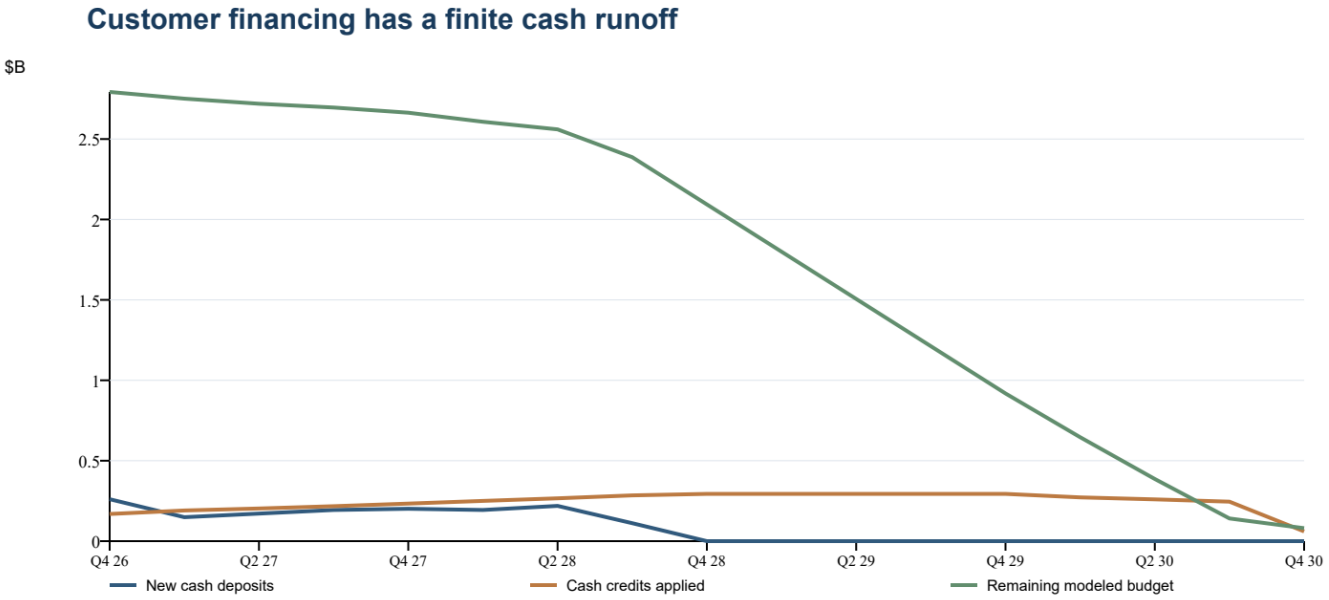
Evidence / event	Selected treatment
Optical volume/content	Joint25/60/15 states
Inside-box adoption	Same states; no extra multiplier
Carrier and DCI	Single carrier wallet
FAU qualification	Inside photonics wallet
Solar productivity	Quarterly output and margin cases
Glass pricing	Net price and cost scenarios

14. Customer cash funding and warrants

September reported contract liabilities are $501 million current and $2,200 million noncurrent. The model uses $2,701 million as an opening cash-runoff budget proxy. It makes no inference of a larger reported gross liability from the warrant grant value.

Prospective deposits fund 65% of capex above a $300 million quarterly maintenance allowance, capped at $1.5 billion cumulatively. This is an analyst funding assumption. The opening cash pool runs off over 16 quarters; new cohorts apply over 12 quarters after receipt. Deposits carry future cash obligations and create no additional sales or operating profit.

The $500 million pre-funded warrant cash is already in the opening balance sheet. The traditional grant-date $296 million supports the earlier conservative future revenue-contra allowance; its exact remaining unamortized amount is unavailable. Removing that modeled noncash charge leaves cash unchanged.



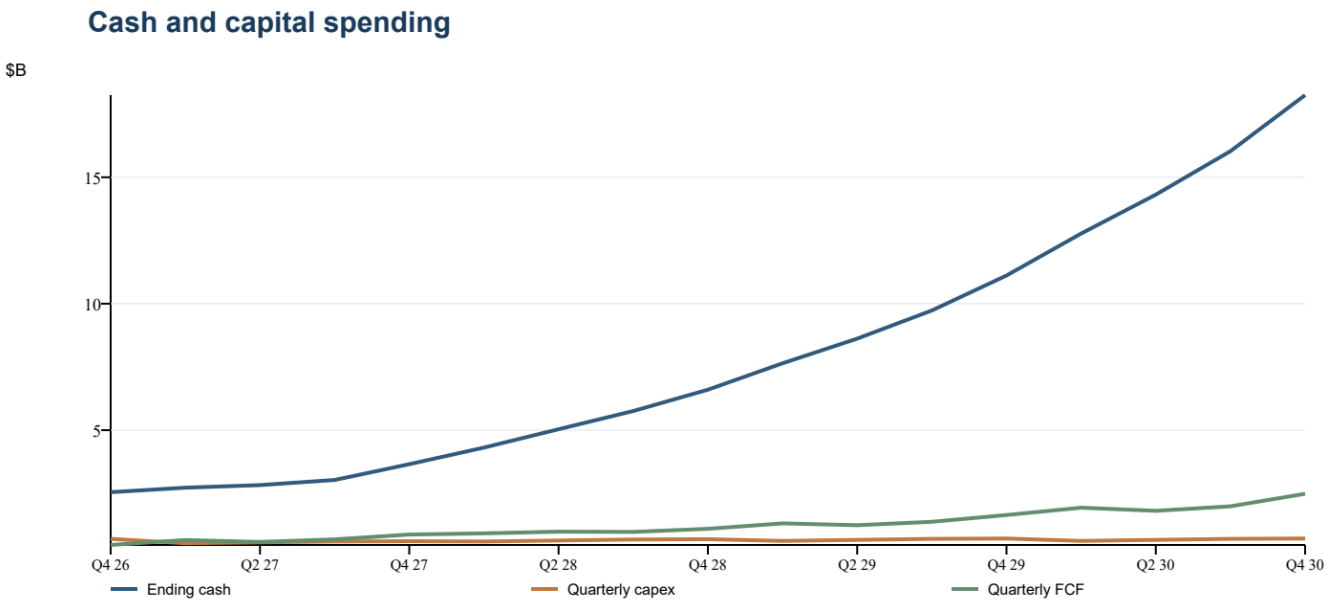
Source: approved Corning model. The chart uses the stated financial basis.

15. Cash, taxes and financing

Opening unrestricted cash is $2,537 million and ordinary debt $8,200 million. Current debt of $933 million is repaid over four quarters. Future discretionary buybacks and ATM issuance are zero. Common dividends use $0.28 per issued share each quarter; minority distributions retain a separate cash line.

The GAAP-style cash conversion is a proxy from core profit, with finite depreciation/intangibles, stock compensation, working capital, realized currency cash, deposits, tax and lease principal. Book tax is 23% of positive modeled pretax profit; cash tax is 18.5% of positive adjusted taxable profit. The noncash warrant charge receives no assumed cash-tax benefit.

A $1.5 billion revolver funds a shortfall below $1 billion cash only if required. The base and zero-new-deposit paths require no draw. Cash generation before customer funding is shown separately.



Source: approved Corning model. The chart uses the stated financial basis.

16. Quarterly cash schedule

Quarter	CFO	Capex	FCF	Deposits	Applied	End cash
Q4 2026	1,161.2	701.0	460.2	260.7	168.8	2,547.5
Q1 2027	1,183.8	529.0	654.8	148.8	190.5	2,725.0
Q2 2027	1,143.8	563.5	580.3	171.3	202.9	2,827.4
Q3 2027	1,279.0	598.0	681.0	193.7	217.2	3,030.0
Q4 2027	1,481.8	609.5	872.3	201.2	233.4	3,654.0
Q1 2028	1,517.4	598.0	919.4	193.7	250.1	4,310.3
Q2 2028	1,623.1	637.0	986.1	219.1	266.3	5,036.4
Q3 2028	1,652.6	676.0	976.6	111.6	284.5	5,756.1
Q4 2028	1,788.0	689.0	1,099.0	0.0	293.8	6,599.1
Q1 2029	1,934.8	621.0	1,313.8	0.0	293.8	7,643.5
Q2 2029	1,903.1	661.5	1,241.6	0.0	293.8	8,618.7
Q3 2029	2,078.5	702.0	1,376.5	0.0	293.8	9,732.0
Q4 2029	2,359.9	715.5	1,644.4	0.0	293.8	11,114.1
Q1 2030	2,555.2	621.0	1,934.2	0.0	272.1	12,773.5
Q2 2030	2,471.9	661.5	1,810.4	0.0	259.7	14,312.0
Q3 2030	2,690.1	702.0	1,988.1	0.0	245.4	16,031.2
Q4 2030	3,200.0	715.5	2,484.5	0.0	60.5	18,247.7

17. Sensitivities and limitations

Minority sensitivities alter the parent claim while retaining consolidated operations. Asset life and capex changes flow through depreciation and costs. Zero new deposits test the selected spending path against cash generation.

Future tax, ownership and customer-funding schedules remain explicit proxies. The cash bridge does not forecast every GAAP balance-sheet account. Group-to-product allocation and the changing minority mix are material uncertainties.

Case	Q4 2027 $	Minimum cash $M	Maximum gap $M
baseline	154.75	2,547.5	0.0
zero new deposits	154.75	2,066.8	0.0
NCI minus25	157.84	2,552.9	0.0
NCI plus25	151.66	2,542.1	0.0
asset life plus25	163.00	2,541.4	0.0
capex plus10	153.94	2,523.0	0.0

18. Catalysts and monitoring

Track accepted shipments under customer agreements, qualified connectivity capacity, the 2028 scale-up schedule and inside-box revenue. Architecture changes can alter content per deployment.

Monitor enterprise/carrier sales separately, finished assembly yields, customer inventory, glass pricing after costs and currency, and solar throughput. Compare actual capex and customer cash with the finite schedule. Delivery and cost evidence determine operating revisions.

Material misses in solar absorption or accepted optical output would favor the delayed case. Faster qualified capacity and sustained content/pricing would favor the accelerated case.

19. October13 expert evidence carried forward

The earlier anonymous optical expert report remains relevant to assembly economics, category definitions and qualification. It was published October 13,2026; interview timing is unavailable and the publisher identifies an AI translation. All eleven original pages follow.

Raw fiber, finished jumpers, connector assemblies and FAU have different prices and units. Fiber-kilometer pricing does not establish assembled-product ASP. MPO/MMC comparisons require consistent lanes, connectors and cable definitions. A DCI reporting classification change alone does not increase sales.

Current issuer earnings provide the accounting anchor. The expert opportunity descriptions inform bounded enterprise, carrier and photonics assumptions.

20. Source register and completeness

S1: October 27 Corning Q3 earnings release, full preserved issuer text. S2: Form 10-Q filed October 29 for September 30, full preserved text. S3: October 27 management call, full remarks and Q&A from a secondary transcript cross-checked with issuer tables. S4: July 28 call, full StockAnalysis/Quartr transcript. S5: issuer-authored presentation reproduced by PublicNow/MarketScreener.

Original issuer presentation/financial-exhibit PDF files and the two call audio files remain unavailable. Product margins, precise capacity/yield curves, customer credit dates and current US Conec ownership percentages are undisclosed.

Source	URL
release	https://www.sec.gov/Archives/edgar/data/24741/000002474126000273/glw-20261027xex99xq32026.htm
filing	https://www.sec.gov/Archives/edgar/data/24741/000002474126000279/glw-20260930.htm
q3_call	https://www.fool.com/earnings/call-transcripts/2026/10/27/corning-glw-q3-2026-earnings-call-transcript/
q2_call	https://stockanalysis.com/stocks/glw/transcripts/656105-q2-2026/
presentation	https://www.marketscreener.com/news/corning-incorporated-third-quarter-2026-presentation-ce785cdddd89f524

21. Quarterly asset and ownership reconciliation

Quarter	Depreciation	Ending PPE	New lease debt	Net NCI	Pretax NCI
Q4 2026	381.2	15,894.5	82.2	85.0	104.3
Q1 2027	399.5	16,081.8	160.4	87.9	107.9
Q2 2027	416.0	16,287.1	234.4	93.7	115.0
Q3 2027	433.4	16,509.4	304.3	99.6	122.2
Q4 2027	450.0	16,668.9	287.9	102.0	125.1
Q1 2028	465.1	16,801.9	271.4	108.6	133.3
Q2 2028	480.5	16,958.4	255.0	116.1	142.5
Q3 2028	496.9	17,137.5	238.5	123.6	151.6
Q4 2028	514.0	17,312.5	222.1	126.7	155.5
Q1 2029	530.3	17,403.2	205.6	130.6	160.3
Q2 2029	546.4	17,518.3	189.2	138.9	170.4
Q3 2029	563.4	17,656.9	172.7	147.0	180.4
Q4 2029	581.1	17,791.3	156.3	150.1	184.2
Q1 2030	597.8	17,814.5	139.8	153.2	188.0
Q2 2030	613.9	17,862.1	123.4	162.6	199.5
Q3 2030	630.9	17,933.2	106.9	171.9	210.9
Q4 2030	648.6	18,000.0	90.5	175.2	215.0

22. Quarterly tax and net-income reconciliation

The core and GAAP-style forecast measures retain different adjustments. GAAP net income is before the minority cash distribution; parent net income deducts the net minority claim. Book/cash taxes are calculated within each scenario before probability weighting.

Quarter	Core parent NI	GAAP pretax	Book tax	Cash tax	GAAP parent NI
Q4 2026	864.5	1,031.8	237.3	190.9	709.5
Q1 2027	860.9	1,037.3	238.6	195.1	710.8
Q2 2027	965.9	1,166.5	268.3	219.2	804.5
Q3 2027	1,077.5	1,303.8	299.9	244.8	904.3
Q4 2027	1,129.7	1,368.5	314.8	256.8	951.7
Q1 2028	1,282.3	1,576.7	362.6	296.4	1,105.4
Q2 2028	1,426.4	1,755.6	403.8	329.8	1,235.7
Q3 2028	1,566.9	1,930.2	443.9	362.4	1,362.7
Q4 2028	1,627.4	2,005.9	461.4	376.5	1,417.9
Q1 2029	1,739.2	2,160.6	496.9	404.4	1,533.0
Q2 2029	1,895.4	2,355.1	541.7	440.7	1,674.5
Q3 2029	2,049.4	2,546.6	585.7	476.5	1,813.9
Q4 2029	2,104.8	2,616.1	601.7	489.4	1,864.2
Q1 2030	2,214.7	2,767.3	636.5	511.9	1,977.6
Q2 2030	2,401.3	3,000.1	690.0	555.0	2,147.5
Q3 2030	2,586.4	3,231.0	743.1	597.7	2,316.0
Q4 2030	2,650.3	3,311.0	761.5	612.5	2,374.3

23. Quarterly customer funding reconciliation

The remaining modeled cash budget equals the prior balance plus cash deposits less cash credits applied. It has an opening cash-pool component and a new-cohort component. The $296 million warrant allowance is tracked separately.

Quarter	New deposits	Applied	Opening pool left	New pool left	Cash budget left
Q4 2026	260.7	168.8	2,532.2	260.7	2,792.8
Q1 2027	148.8	190.5	2,363.4	387.8	2,751.2
Q2 2027	171.3	202.9	2,194.6	524.9	2,719.5
Q3 2027	193.7	217.2	2,025.8	670.2	2,696.0
Q4 2027	201.2	233.4	1,856.9	806.9	2,663.8
Q1 2028	193.7	250.1	1,688.1	919.3	2,607.4
Q2 2028	219.1	266.3	1,519.3	1,040.9	2,560.2
Q3 2028	111.6	284.5	1,350.5	1,036.8	2,387.3
Q4 2028	0.0	293.8	1,181.7	911.8	2,093.5
Q1 2029	0.0	293.8	1,012.9	786.8	1,799.6
Q2 2029	0.0	293.8	844.1	661.8	1,505.8
Q3 2029	0.0	293.8	675.2	536.8	1,212.0
Q4 2029	0.0	293.8	506.4	411.8	918.2
Q1 2030	0.0	272.1	337.6	308.5	646.1
Q2 2030	0.0	259.7	168.8	217.6	386.4
Q3 2030	0.0	245.4	0.0	141.0	141.0
Q4 2030	0.0	60.5	0.0	80.5	80.6

Scenario detail: Delayed

Joint probability: 25%. Values below are complete conditional company outcomes before probability weighting.

Quarter	Core sales	Parent OP	FCF	Ending cash	Ceiling $
Q4 2026	5,250.0	1,150.8	460.2	2,547.5	98.42
Q1 2027	5,163.2	982.0	665.0	2,735.7	100.25
Q2 2027	5,480.6	1,082.1	445.4	2,703.8	105.81
Q3 2027	5,808.0	1,189.3	517.3	2,743.5	112.19
Q4 2027	5,930.4	1,232.8	687.5	3,183.7	119.15
Q1 2028	5,881.7	1,230.5	851.9	3,777.0	126.51
Q2 2028	6,271.4	1,367.6	639.5	4,161.4	137.46
Q3 2028	6,661.1	1,501.0	599.6	4,509.3	149.15
Q4 2028	6,827.7	1,562.3	685.9	4,944.5	161.71
Q1 2029	7,177.9	1,720.3	827.6	5,507.3	174.43
Q2 2029	7,660.4	1,891.0	835.5	6,081.2	188.10
Q3 2029	8,142.8	2,062.9	956.2	6,778.9	202.57
Q4 2029	8,343.7	2,131.4	1,209.1	7,730.3	217.73
Q1 2030	8,784.9	2,332.1	1,394.8	8,853.2	232.73
Q2 2030	9,337.8	2,538.5	1,449.0	10,033.3	-
Q3 2030	9,880.7	2,741.1	1,617.9	11,385.4	-
Q4 2030	10,081.7	2,802.8	2,089.5	13,210.0	-

Scenario detail: Reference

Joint probability: 60%. Values below are complete conditional company outcomes before probability weighting.

Quarter	Core sales	Parent OP	FCF	Ending cash	Ceiling $
Q4 2026	5,250.0	1,150.8	460.2	2,547.5	113.18
Q1 2027	5,466.9	1,172.2	658.9	2,729.1	121.07
Q2 2027	5,832.8	1,301.7	602.2	2,853.4	133.24
Q3 2027	6,198.7	1,439.9	709.2	3,084.1	146.47
Q4 2027	6,347.3	1,504.2	904.5	3,740.3	160.46
Q1 2028	6,836.7	1,716.6	926.8	4,403.3	174.51
Q2 2028	7,310.2	1,893.8	1,040.8	5,183.5	186.05
Q3 2028	7,783.6	2,065.9	1,035.6	5,961.5	197.67
Q4 2028	7,978.1	2,133.0	1,163.3	6,867.9	209.39
Q1 2029	8,135.9	2,233.0	1,407.7	8,006.0	220.78
Q2 2029	8,638.4	2,413.8	1,281.4	9,021.0	232.09
Q3 2029	9,131.0	2,590.3	1,414.0	10,171.8	244.12
Q4 2029	9,308.5	2,643.0	1,676.6	11,586.3	256.97
Q1 2030	9,406.7	2,738.9	1,996.2	13,308.3	270.11
Q2 2030	9,976.2	2,952.2	1,809.8	14,847.0	-
Q3 2030	10,545.8	3,165.4	1,982.9	16,561.9	-
Q4 2030	10,749.0	3,230.8	2,477.7	18,772.6	-

Scenario detail: Accelerated

Joint probability: 15%. Values below are complete conditional company outcomes before probability weighting.

Quarter	Core sales	Parent OP	FCF	Ending cash	Ceiling $
Q4 2026	5,250.0	1,150.8	460.2	2,547.5	123.87
Q1 2027	5,723.5	1,305.6	621.5	2,690.7	136.20
Q2 2027	6,125.5	1,460.6	717.7	2,929.4	153.43
Q3 2027	6,537.4	1,626.2	841.4	3,290.9	171.90
Q4 2027	6,721.4	1,702.8	1,051.5	4,092.5	191.26
Q1 2028	7,581.7	2,076.4	1,002.5	4,826.8	210.94
Q2 2028	8,115.3	2,287.3	1,345.1	5,906.5	227.03
Q3 2028	8,648.9	2,492.4	1,369.1	7,012.9	243.36
Q4 2028	8,886.7	2,583.5	1,530.5	8,281.3	260.07
Q1 2029	9,285.1	2,796.2	1,748.9	9,753.6	276.48
Q2 2029	9,868.9	3,018.1	1,759.2	11,238.9	290.77
Q3 2029	10,452.7	3,240.1	1,926.9	12,894.7	305.78
Q4 2029	10,680.7	3,317.9	2,240.9	14,865.3	321.50
Q1 2030	10,825.5	3,436.0	2,585.5	17,168.0	337.28
Q2 2030	11,473.4	3,689.7	2,414.9	19,302.8	-
Q3 2030	12,121.2	3,943.4	2,625.7	21,651.0	-
Q4 2030	12,353.9	4,024.1	3,169.7	24,544.2	-

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Expert Call | Corning

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OCT 13, 2026 PAID



Questions:

1. What is Corning's annual optical fiber capacity plan from 2025 to 2030?
2. What does the NVIDIA-backed 10x expansion plan involve, how fast will it be implemented, and what is the impact on fiber capacity?
3. MPO jumpers and similar products appear to use a lot of fiber in data centers. Why do you judge that fiber supply will not fall short?
4. What is Corning's strategy and ratio for in-house production versus outsourced fiber purchasing?

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5. What are the size and expected growth of the MPO and MMC connector and jumper market?
6. Can you break down how the product revenue mix of the Enterprise Network segment in Corning's optical communications business changes around 2026?
7. In the enterprise business, what is the approximate revenue of trunk cables and other products apart from connectors?
8. How much fiber capacity does the enterprise business occupy?
9. What is the average selling price of trunk cables sold in the enterprise business, and what is its value composition?
10. Which type of fiber does the enterprise business mainly use now, and what is the price trend?
11. How is Corning's business in optical components such as FAU progressing, and what is the revenue?
12. Which market segment is Corning's FAU product mainly aimed at?
13. What is the Q4 2026 outlook for Corning's optical communications business, and does the usual seasonality still apply compared with prior years?
14. Is there a plan to shift carrier-business capacity to the higher-margin enterprise business?
15. What will the long-term growth rate of the carrier business be?
16. What were carrier-side fiber prices in 2025 and 2026? Can the price increases keep pace with the enterprise side?
17. What customer types does the carrier business include, and has the customer mix changed recently?
18. What is the current profitability of Corning's solar and life sciences businesses, and when is profit expected to turn positive?

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Summary:

Fiber Capacity & Supply Dynamics

- **Capacity Plan (2025–2030):** Expected capacity is **120–130 million fkm** in 2025, rising to **~140 million fkm** in 2026, and **150 million fkm** in 2027–early 2028. Starting in 2028, capacity will increase by **20 million fkm each year** (in both 2028 and 2029).
- **NVIDIA 10x Expansion:** Focuses on optical interconnect jumpers inside data center racks to replace copper. The expansion will proceed slowly as large-scale deployment won't happen before 2028. It adds little direct demand for raw fiber capacity, as jumpers use short lengths (under 5m average in future scenarios) and production bottlenecks stem from labor, machinery, and facilities rather than fiber availability.
- **In-House vs. Outsourced Production:** Corning does not buy bare fiber from third parties. When extra capacity is needed, it uses contract manufacturers supplied with Corning's own preforms.

Enterprise Network Segment

- **Market Growth & Size:** The MPO/MMC connector and jumper market reached **RMB 5+ billion in 2025**, growing **50%–60% annually**, a pace expected to continue through 2029–2030.
- **Revenue Breakdown (2025 Total: ~$3.1–3.2B):**
  - **MPO/Connector Products:** ~70% (~$2.2–2.3B).
  - **Trunk Cables & Derivative Products:** ~15%.
  - **Module Boxes & Cable Trays:** ~10% and ~5%, respectively.
- **Shift Starting in 2026:** Cloud providers building their own data center interconnects will add **$300–400M** in revenue (~5%–6% of the enterprise mix) and grow from there.
- **Fiber Consumption:** Enterprise products account for **~30% of Corning's total fiber demand** (connector products take ~25%).

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Product Specs, Pricing, & Emerging Tech

- **Trunk Cables:** High-priced (several thousand USD/km for 288-fiber cables). Single-mode fiber accounts for **~75% of total cable value**.
- **Fiber Types & Prices:** Enterprise relies primarily on single-mode fiber (multimode is declining).
  - **Ultra A1 Fiber:** Rose from **$12/fkm** (end of 2025) to **$16/fkm** (2026). Higher-grade A2 fiber runs **$22–23/fkm**.
- **Optical Components (FAU/CPO):** Minimal sales in 2025 (~$1–2M in R&D). Expected to reach **tens of millions in 2026** (ramping Q4). FAU targets Co-Packaged Optics (CPO) rather than pluggable modules, with significant scale expected around 2027–2028.

Carrier Business

- **Capacity & Market Strategy:** Corning holds a **~70% market share** in US carrier supply and will not shift capacity away to higher-margin enterprise areas to avoid market disruption.
- **Pricing & Growth:** Carrier fiber prices rose from **~$7 (2025)** to **~$11 (2026)**, but carriers are more price-sensitive than enterprise customers. Long-term growth will be steady rather than explosive due to ongoing US network buildout needs.
- **Customer Mix Shift:** In 2026, tech giants (e.g., Meta, Google) building self-owned data center networks moved from being classified under Carrier (interconnect) to the Enterprise segment.

Non-Optical Segments (Solar & Life Sciences)

- **Solar:** A strategic focus area. Temporary Q2 2026 losses were caused by factory upgrades rather than core weakness (Q1 2026 was profitable). Projected to grow strongly and potentially surpass the Display business by **2029**.
- **Life Sciences:** Represents a very small part of the portfolio with negligible impact on overall financial results.

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Expert: N/A

Date: N/A

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Reminder: *The context of the expert below is from the point of view of China's market.*

Q1. What is Corning's annual optical fiber capacity plan from 2025 to 2030?

2025 fiber capacity is expected to be between 120 and 130 million fiber-kilometers (fkm). In 2026, working with partners, peak capacity can reach roughly 140 million fkm. Capacity rises to 150 million fkm in 2027 and stays at that level into early 2028. From 2028, capacity will increase by about 20 million fkm, and in 2029 by a further 20 million fkm on top of that.

Q2. What does the NVIDIA-backed 10x expansion plan involve, how fast will it be implemented, and what is the impact on fiber capacity?

The expansion mainly targets optical interconnect jumper (patch cord) products used inside data center racks, intended to replace existing copper connections and meet the needs of future Scale-up architectures. The "10x" capacity increase is measured against Corning's original jumper product volume. Because NVIDIA's Scale-up architecture will not be deployed at large scale before 2028, the expansion will not proceed quickly. The plan creates little direct demand for fiber capacity; the additional 20 million fkm of fiber capacity added each year is

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already sufficient and may even be surplus. Jumper manufacturing is labor-intensive, and its bottlenecks are labor, machinery and factory facilities rather than the fiber itself.

Q3. MPO jumpers and similar products appear to use a lot of fiber in data centers. Why do you judge that fiber supply will not fall short?

As the world's largest fiber manufacturer, Corning can flexibly adjust expansion plans to project needs and make full use of idle capacity, so its own fiber supply is not a constraint. Data center jumper business differs markedly from carrier business in how it consumes fiber. Carrier business involves long transmission distances and consumes enormous fiber mileage. Jumper business, by contrast, is growing quickly in sales, but its core is the MPO connector manufacturing process and it consumes relatively little fiber mileage. Jumpers inside data centers average only about forty to fifty meters, and in future Scale-up scenarios the average will be under 5 meters. These are short-reach applications, so this is not an especially fiber-intensive use case.

Q4. What is Corning's strategy and ratio for in-house production versus outsourced fiber purchasing?

Corning does not purchase fiber from other brands. In particular cases where it foresees that its own capacity may be insufficient, Corning uses a contract-manufacturing model with partners: it supplies its own preforms to a partner, who draws them into fiber that Corning then buys back. Fiber obtained this way originates from Corning's own preforms and is therefore not considered external purchasing.

Q5. What are the size and expected growth of the MPO and MMC connector and jumper market?

The MPO and MMC jumper market, including the fiber, was about RMB 5+ billion in 2025. Average annual growth in recent years has held at roughly 50% to 60%. MMC currently accounts for a small share of the

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market. Given the demand expected to be unleashed by future Scale-up scenarios, this rapid growth is expected to continue until at least 2029-2030.

Q6. Can you break down how the product revenue mix of the Enterprise Network segment in Corning's optical communications business changes around 2026?

Before 2026, the Enterprise Network segment mainly comprised four product categories: MPO products, data center trunk cables, MPO adapter module boxes, and MPO cable trays. The approximate revenue mix was: MPO products 70%, trunk cables 15%, module boxes 10%, and fiber cable trays 5%. From 2026, as cloud providers increasingly build their own data center interconnects, the product mix is changing. In 2026, the market created by cloud providers' self-built interconnects is expected to reach US$300-400 million. This business will account for roughly 5% to 6% of the existing mix and continue to grow from that starting point.

Q7. In the enterprise business, what is the approximate revenue of trunk cables and other products apart from connectors?

In 2025, total enterprise revenue was about US$3.1-3.2 billion. Of this, MPO-type connector products accounted for about US$2.2-2.3 billion, or roughly 70%. The remainder consists of fiber derivative products such as trunk cables; the enterprise business does not sell bare fiber directly.

Q8. How much fiber capacity does the enterprise business occupy?

In terms of fiber consumption, the ratio between carrier business and enterprise business is about 7:3. Within the enterprise business, products such as MPO and trunk cables occupy fiber capacity, but the combined share is modest, at around 30% of the company's total fiber demand. Products such as module boxes, jumpers and cable trays do

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not occupy fiber capacity. Specifically, connector-type products occupy about 25% of fiber capacity.

Q9. What is the average selling price of trunk cables sold in the enterprise business, and what is its value composition?

Trunk cable pricing depends on customer requirements and is relatively high. For example, a 288-fiber data center trunk cable costs roughly several thousand US dollars per kilometer. These products mainly use single-mode fiber. In terms of value composition, the fiber itself is the main component, at about 75% of the total cable value. For example, if 1 km of 288-fiber cable uses single-mode fiber priced at US$16 per fiber-km, the fiber value is 288 x US$16, and the cable's price can be roughly estimated by dividing that fiber value by 75%.

Q10. Which type of fiber does the enterprise business mainly use now, and what is the price trend?

The vast majority of the enterprise business uses single-mode fiber. Multimode fiber is no longer mainstream in US data center interconnect solutions, and its use is declining. Taking Corning's Ultra A1 single-mode fiber as an example, the current (2026) price is US$16 per fiber-km, versus about US$12 per fiber-km for the same product at the end of 2025. For the enterprise business, if higher-grade A2 fiber is used, the price may be US$22-23 per fiber-km. Price increases in the US market are expected to be milder than in China.

Q11. How is Corning's business in optical components such as FAU progressing, and what is the revenue?

Corning has a portfolio of optical components including FAU, fiber shuffle and guide-plate fiber. In 2025 this business generated essentially no sales, only about US$1-2 million, which is negligible, and was mainly in the R&D stage. In 2026, especially in Q4, as some projects begin to ramp, optical component revenue is expected to reach the tens of

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millions of dollars. If CPO (co-packaged optics) technology is successfully deployed in 2027-2028, the scale of this business will become significant.

Q12. Which market segment is Corning's FAU product mainly aimed at?

Corning's FAU is mainly aimed at CPO (co-packaged optics) applications, which is fundamentally different from the FAU used in pluggable optical modules. A real market for CPO FAU has not yet formed, because downstream end products such as CPO-equipped switches have not been launched, so it cannot be measured by market share.

Q13. What is the Q4 2026 outlook for Corning's optical communications business, and does the usual seasonality still apply compared with prior years?

Under normal circumstances Q4 results are better than Q3. However, Q2 and Q3 are the absolute peak season in the US market. In 2025, results grew continuously because the data center business was in a period of explosive growth. Q4 2026 will most likely continue to grow, but this is not a fixed pattern every year. On a quarterly basis there is uncertainty; for example, the carrier business performed poorly in Q2 2026, but may stand out in Q3 owing to the timing of order recognition.

Q14. Is there a plan to shift carrier-business capacity to the higher-margin enterprise business?

Carriers are price-sensitive, and negotiation cycles after price adjustments are generally long, which may affect project implementation and cause actual growth to fall short of expectations. The company will not shift carrier capacity to the enterprise side. Although the enterprise business is more profitable, and Corning will work to secure more capacity for its projects, the carrier business must

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be retained. Corning is the main supplier to the US carrier market with a share of about 70%, and ceasing supply would severely disrupt the market, so it must keep operating this business even at lower margins.

Q15. What will the long-term growth rate of the carrier business be?

Growth in this business fluctuates between stronger and weaker years, and will not see the explosive 40% to 50% growth seen in AI-related businesses. However, it will not decline, because the US still has a great deal of room to build out traditional fiber networks, unlike China, South Korea or the Middle East, where network buildout is already very complete.

Q16. What were carrier-side fiber prices in 2025 and 2026? Can the price increases keep pace with the enterprise side?

In 2025, carrier-side fiber prices were about US$7; by 2026 they had risen to about US$11. However, the pace of increase will not necessarily keep up with the enterprise side. Carriers are highly price-sensitive, price-increase negotiations are difficult, and projects may be delayed as a result. By contrast, enterprise customers accept price adjustments more readily. Fiber accounts for only about 1% of total data center investment, yet it is critical to keeping expensive equipment such as GPUs and storage running, so communication with enterprise customers is smoother.

Q17. What customer types does the carrier business include, and has the customer mix changed recently?

The carrier business mainly includes two types of customers. The first is traditional carriers providing personal and metropolitan telecom services, such as AT&T, Verizon and T-Mobile. The second is data center interconnect carriers that run backbone networks and lease them to data centers, such as Lumen and Consolidated. Before 2026, customers like Lumen belonged to the carrier business. From 2026 this changed:

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large tech companies such as Meta and Google have begun building their own data center interconnect networks, and this business is classified as enterprise business rather than carrier business.

Q18. What is the current profitability of Corning's solar and life sciences businesses, and when is profit expected to turn positive?

Solar is a key area of focus for the company. Earlier losses did not stem from poor performance of the business itself, but from costs exceeding revenue because of newly built factories. Once the upfront investment is absorbed, revenue will cover costs and keep improving, and the outlook is very bright. This business is expected to eventually surpass the display business and become the company's second-largest business. The company has recently reorganized, merging the display and specialty materials businesses into a Glass Innovation segment; it is now harder for solar to overtake the entire merged segment, but compared with display alone it could potentially overtake it as early as 2029. As for turning profitable, Q1 2026 was profitable, while Q2 showed a loss mainly because the factory was shut down for half a month for power and environmental upgrades. With the upgrades complete, profitability is expected to improve. The life sciences business is very small and recent projects may be performing poorly, but the impact on overall results is minor.

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